Mitsui Kinzoku

5706.T | Tokyo Prime | 2026-10-07

Q4 2027 model ceiling: JPY 2,918.28

Analytical Base 45/60 = 75 | High Conviction / Materials beneficiary

forward-four-quarter operating profit at 15x; New initiation company-specific assumption. 15x OP recognizes specialty-foil quality but discounts cyclical metals, capex and ordinary-income leakage. Not a borrowed analyst P/E/target. No separate balance-sheet uplift; use same formula consistently after adoption.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: JPY 2,750.50 on 2026-10-06. Model diluted shares at Q3 2026: 572.139m. Indicative diluted capitalization: JPY 1,573,669.3m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in JPY m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	111,344.4	15x	572.311	2,918.28

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Probabilities have already been applied to the operating forecast; they are not applied again to the valuation.

Thesis

Research date: October 7, 2026. Tokyo Prime: 5706. Currency: JPY. Fiscal FY2026 ends March 2027; all ceiling labels use calendar quarters. This is a new coverage initiation.

The adopted Q4 2027 ceiling is **¥2,918.28**, based on **15x forward-four-quarter operating profit** of ¥111.344B and 572.311M diluted shares. The reference before incremental probability branches is ¥2,899.94. The adopted analytical Base is **75/100**.

Mitsui has valuable positions in carrier-attached ultra-thin copper foil and very smooth copper foil, but its consolidated earnings also contain smelting, commodities, catalysts and new-business development costs. The investment case depends on more qualified foil being sold at an adequate processing margin. Adding every new copper-foil capacity announcement to revenue or treating all company profit as an AI materials monopoly would overstate the case.

What is scarce, and where the profit is earned

MicroThin puts an ultra-thin copper layer on a removable carrier. The August 17 release illustrates a 1.5-5μm functional foil carried on an 18μm or12μm copper layer. That structure permits fine wiring and handling that would be difficult with an unsupported film. Customers qualify material together with their process, including adhesion and release behavior; material consistency and customer process integration matter more than nominal copper tonnage.

VSP addresses a different problem: conductor-surface roughness at high frequency. A smoother interface can reduce signal loss in demanding PCB/CCL applications. Management is shifting the mix toward HVLP4 and higher grades, with the FY2026 mix forecast at 45% in the first half and60% in the second. HVLP5 is entering mass production. This supports a processing-fee and product-mix argument; it does not mean a rise in copper metal prices becomes an equal rise in profit. Copper-value pass-through, conversion fees, grade mix and manufacturing costs must be kept separate.

FaradFlex embeds capacitance in a thin substrate layer. The immediate business argument is qualification and content in AI switches and other advanced circuitry. It can give designers another way to place decoupling capacitance; assuming wholesale replacement of discrete MLCC demand would require evidence not supplied here.

The primary sources also describe HRDP carriers, powders, rare materials, ceramics and solid-electrolyte development. These create plausible later opportunities. Customer-specific customization, pilot lines and published development milestones are not enough to assume large near-term profit. The model contains only a small, explicitly weighted later commercial residual beyond the ordinary other-materials reference.

The latest results show both the opportunity and the offset

The August 7 release reports April-June 2026 revenue of ¥201.597B, gross profit ¥42.091B, SG&A ¥21.064B and operating profit ¥21.027B. Ordinary income was ¥23.474B and net income ¥16.824B. Equity-method investment profit and other non-operating items explain why ordinary income cannot be treated as operating profit. The quarter included ¥6.887B of depreciation and amortization.

External segment sales were ¥98.025B Engineered Materials, ¥74.778B Metals and ¥25.290B Other, with a ¥3.502B currency/budget-rate adjustment. The divisional presentation shows ¥100.6B for Engineered Materials including internal transactions: copper foil ¥41.0B, catalysts ¥36.1B, powders ¥14.7B and other engineered products ¥8.8B. These internal-inclusive figures are useful to identify the product mix; adding them to the external

consolidated totals would double-count revenue.

FY2026 guidance is ¥850B sales and ¥94B operating profit, including first-half sales of ¥420B and OP of ¥45B. Engineered Materials OP is expected to rise to ¥79B; Metals OP is forecast at ¥24B. The company separately presents **¥89B operating profit excluding inventory and PGM-price effects**. The model does not perpetuate the ¥5B gap as permanent profit after March 2027.

For context, FY2025 revenue was ¥758.532B and operating profit ¥130.912B. That unusually strong year included large metals and inventory-related benefits. The company's normalized OP comparison is ¥106.4B for FY2025 versus ¥89B for FY2026. Metals OP of ¥70.8B in FY2025 is not an appropriate unchanging starting point for a foil-led forecast. The August bridge shows copper foil improvements being offset by weaker metals economics and changed inventory effects.

Accounting correction that matters to valuation: the medium-term FY2027 ¥115B and FY2030 ¥150B group targets, and the FY2030 ¥130B Engineered Materials target, are **ordinary-income targets** in the strategy slides. A translated answer sometimes uses looser operating-profit wording. The model follows the clearly labeled tables and does not apply an operating-profit multiple directly to those ordinary-income targets.

What the two latest management discussions changed

The May 13 full-year call, May 21 strategy presentation and June 9 strategy Q&A establish the planned product mix, capacity direction and customer-qualification dependence. The August 7 call, published August 31, then supplies a meaningful update: VSP demand remains strong, but the FY2026 sales-volume forecast fell from about 780 to 710 tonnes per month because customer approval of Malaysian output took longer. Management described a procedural customer-qualification delay, with equipment ready and no identified quality failure. That distinction supports a bounded faster-acceptance branch; it does not eliminate schedule risk.

The latest call also confirms selective July 2026 price increases after the October 2025 VSP increase. MicroThin negotiations beginning around March 2026 and substantially greater optical-transceiver usage are already reflected in the revised operating outlook. The reported copper-foil OP uplift versus the previous outlook includes volume, price, input cost, inventory, currency and FaradFlex effects. The model embeds the revised guide once, then models only residual changes beyond it.

For MicroThin, management described optical applications at more than 600,000m² per month versus roughly200,000-250,000 previously contemplated. It expects existing process adoption to extend to faster optical products. That optical amount is part of total MicroThin area; it is not a separate revenue pool to add on top of the total shipment forecast. Memory packages are another application. A statement about memory beside a CPU is not proof of direct MicroThin sales into the processor die or of a named GPU package award.

Capacity is a limit, not a shipment forecast

The August 17 release gives the clearest updated physical schedule:

Issuer fiscal year	VSP tonnes/month	MicroThin million m²/month
FY2026	840	4.9
FY2027	1,000	5.2
FY2028	1,200	6.0
FY2030	1,400	8.0
FY2031	2,000	10.0

Issuer fiscal year	VSP tonnes/month	MicroThin million m²/month
FY2032	2,600	10.0
FY2033	2,600	12.0

The new land can support a potential 5,000 tonnes/month of VSP eventually. That is a site option, not a committed2027 production plan. The new Malaysian plant's2031 start likewise does not create2027 sales. The August 7 presentation also gives FaradFlex capacity of 85,000m²/month inFY2026,135,000 inFY2027,195,000 inFY2028 and355,000 inFY2030.

Actual Q1 VSP sales averaged660 tonnes/month. Total electrodeposited-foil sales include VSP; those measures cannot be summed. MicroThin Q1 sales averaged4.07M m²/month, comprising 0.55M HDI and3.52M package applications. The FY2026 forecast averages4.26M m²/month. Customer acceptance, grade yield, process changeovers and order demand determine what fraction of announced capacity becomes revenue.

The reference projects FY2027 VSP at 820,850,900 and920 tonnes/month across issuer quarters, versus year-end capacity 1,000. It projects MicroThin at 4.28,4.40,4.55 and4.65M m²/month, versus 5.2M capacity. FY2030 averages rise to 1,282.5 tonnes and6.35M m². Those latter shipment assumptions exceed the **older May 21 demand plan**, even though they fit August capacity. This is a low-confidence underwriting assumption supported by product growth and later capacity plans, not a disclosed revision to management's sales target.

Revenue, costs and probability bridge

The quarterly model builds VSP from tonnes times a copper-value proxy plus a processing-fee proxy. MicroThin uses separate package and HDI areas and ASPs; standard foil and FaradFlex are separate lines. Catalysts, powders, other engineered materials, normalized Metals and Other/Corporate revenue complete the consolidated bridge. A0.9744 external-sales conversion proxy reconciles Q1 internal-inclusive Engineered Materials sales to reported external sales. That conversion is a calibration assumption, not a disclosed ratio for every future SKU.

Per-product realized ASP and gross margin are not disclosed. The adopted product allocations therefore remain explicit model estimates. The near-term consolidated bridge reconciles actual Q1 plus modeled remaining quarters to ¥850B FY2026 revenue and ¥94B OP. FY2027-30 total operating-expense ratios are10.7%,10.6%,10.4% and10.2%; modeled R&D is a subset of those expenses, not a second charge. D&A is embedded in product costs. Cash capex is tracked separately and is not deducted again in OP.

The active probability ledger adds the following company-specific changes:

Event	Probability	Bounded conditional outcome and cost treatment	Q4’27 ceiling effect
Faster Malaysian acceptance	30%	An extra 60/70/50 VSP tonnes per month in CYQ4’26/Q1’27/Q2’27;50% contribution before 5% extra operating cost	¥0; earlier recognition only
Slower acceptance	15%	Loss of 90/90/50 tonnes in the same quarters; lost contribution plus4% fixed-cost reserve	¥0; earlier recognition only
MicroThin accepted area above reference	35%	Extra0.12M m²/month inFY27,0.15M inFY28, rising modestly later; own modeled GP less8% qualification/expediting/operating reserve	+¥15.64

Event	Probability	Bounded conditional outcome and cost treatment	Q4'27 ceiling effect
Future high-grade processing premium	35%	8% premium on half the eligible high-grade processing-fee wallet; excludes copper metal, consumes30% in manufacturing cost plus5% in operating cost	+¥6.77
Qualified VSP competitor gains share	20%	Loss of 6% of the high-grade VSP wallet fromFY28; lost GP plus4% fixed-cost burden	-¥4.06
Later new-materials commercialization	20%	Conditional incremental revenue of ¥1B inFY29 and¥3B inFY30,30% GM less20% commercialization expense	¥0; later than the active horizon

The faster/slower qualification branches are one three-state event:30% faster,15% slower and55% reference. They are not independent outcomes. The MicroThin branch is only above a reference that already contains the reported optical step-up; it does not apply that step-up twice. The high-grade fee branch is beyond known2025/2026 pricing. Its probability reflects difficult customer qualification and cost of delay, while its bounded eligible pool and cost deductions recognize that scarcity does not convert dollar-for-dollar into OP.

After these branches, fiscal-year revenue/OP is ¥858.32B/¥104.19B inFY2027, ¥898.98B/¥118.20B inFY2028, ¥947.67B/¥134.44B inFY2029 and ¥995.33B/¥149.54B inFY2030. These are model outcomes, not issuer guidance. Beyond2027, uncertainty in product pricing, accepted volumes and cost allocation is materially greater.

Treasury, funding and valuation

June 30 assets were ¥719.268B, cash/deposits ¥53.605B, reported debt excluding leases ¥119.626B, inventory ¥239.255B and parent equity ¥422.072B. Net debt excluding leases was ¥66.021B. Metals working capital makes cash conversion sensitive to commodity prices even when nominal sales increase. FY2025 operating cash flow was ¥87.541B; cash PPE investment was ¥34.492B plus ¥1.478B intangibles. The May FY2026 plan called for ¥56B capex and ¥33B depreciation. Future capex projections of ¥55-65B annually are model estimates; funded capacity is not free.

The10-for-1 split became effective October 1. June 30 issued shares of 57.415430M before the split plus4,959 newly issued restricted shares on August 7 produce574.203890M issued shares after the split. Deducting known June 30 treasury shares on the same basis gives572.139360M net outstanding. The model assumes no unreported treasury change and adds a 0.03% annual dilution reserve. The next results should refresh that reconciliation. No large financing or hypothetical M&A issue is invented; a ¥60B acquisition budget is not a completed transaction.

The adopted15x forward OP multiple recognizes specialty-material growth while retaining a discount for metals, capital intensity and non-operating earnings that should not be capitalized as OP. It is a new-company methodology choice, not a quoted bank target. There is no separate cash uplift or net-debt subtraction in this framework OP ceiling formula. At unchanged operating assumptions,12x gives ¥2,334.63 and20x gives ¥3,891.05; those are valuation diagnostics, not alternate adopted methods.

The most material operating uncertainty is product-margin allocation. Moving the active-window foil gross margin up or down5 percentage points, with volumes and operating costs otherwise unchanged, shifts the ceiling by about **¥270.49** in either direction. That diagnostic is much larger than the¥18.35 incremental probability bridge. Precise-looking price targets should not conceal the sensitivity of undisclosed product economics.

Base, risks and decision points

The adopted Base calculation is Core17/20 + Cycle8/10 + TAM expansion8/10 + Catalysts4/5 + Macro8/10 + Alpha4/5 -4 risk points = **45/60 =75/100**. The four distinct risk classes are qualification/capacity execution, competition/technology substitution, metals/energy/FX and working-capital exposure, and capital-allocation/commercialization timing. This initiation score is separate from any later user Excel override.

Raise the operating case when customer acceptance translates into shipped high-grade tonnes or area, processing fees improve after excluding copper-value pass-through, and incremental GP survives expediting, qualification and depreciation costs. Reduce it if Malaysian approvals slip, competitors win qualified high-grade sockets, inventory and Metals gains reverse more sharply, or new capacity runs below saleable utilization. The next results and subsequent customer/plant qualification updates are the near-term tests;2031 facilities and solid-electrolyte development are later catalysts.

There is a coherent relationship to the broader substrate chain: Nittobo glass, CCL producers such as EMC/TUC, and advanced PCB/substrate manufacturing all address different material and process constraints. Their growth is not independent proof of a Mitsui customer award. Material grades, circuit architecture, qualified customer platforms and accepted output must link sector demand to Mitsui's own profits.

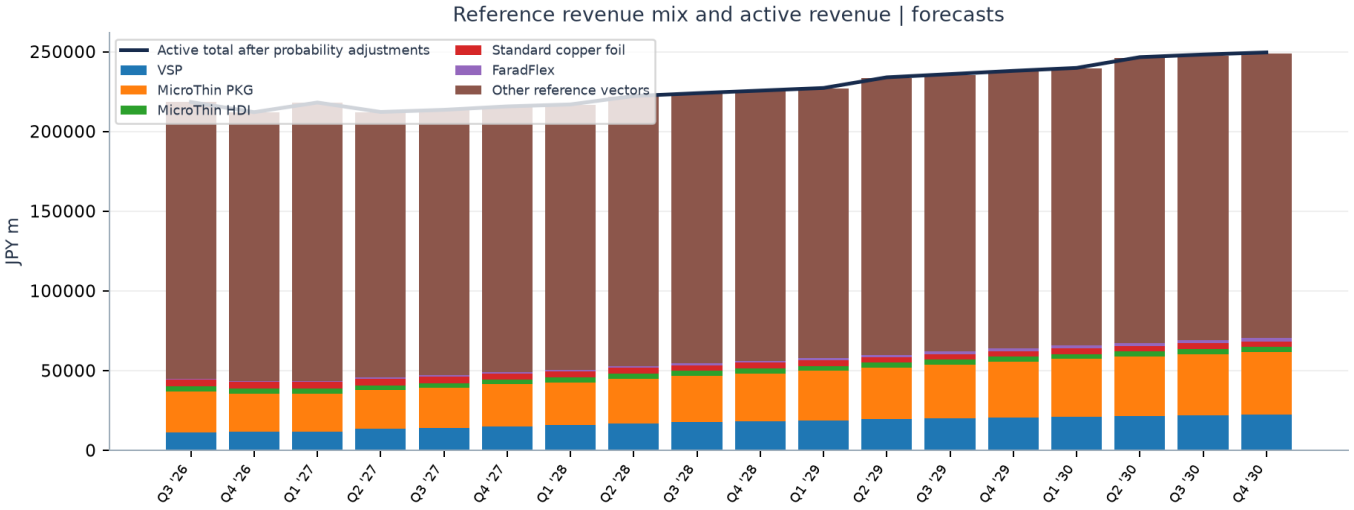
Source and exhibit record

The retained source manifest contains archived PDFs, hashes, specific pages and URLs. Core sources are the August 7 results and latest issuer IR materials, the May 13 full-year call, May 21 strategy presentation with June 9 Q&A, August 7 call published August 31, and August 17 capacity announcement. The October 5 BofA report corroborates sector scarcity but is not used as a source of Mitsui earnings or its valuation multiple.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	See the scoring evidence and distinct risk classes in the analysis.
Cycle	8	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	8	See the scoring evidence and distinct risk classes in the analysis.
Alpha	4	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-4	See the scoring evidence and distinct risk classes in the analysis.
Total	45/60	Rounded Base 75. Both artifact and new workbook row use this score; this is not a manual override.

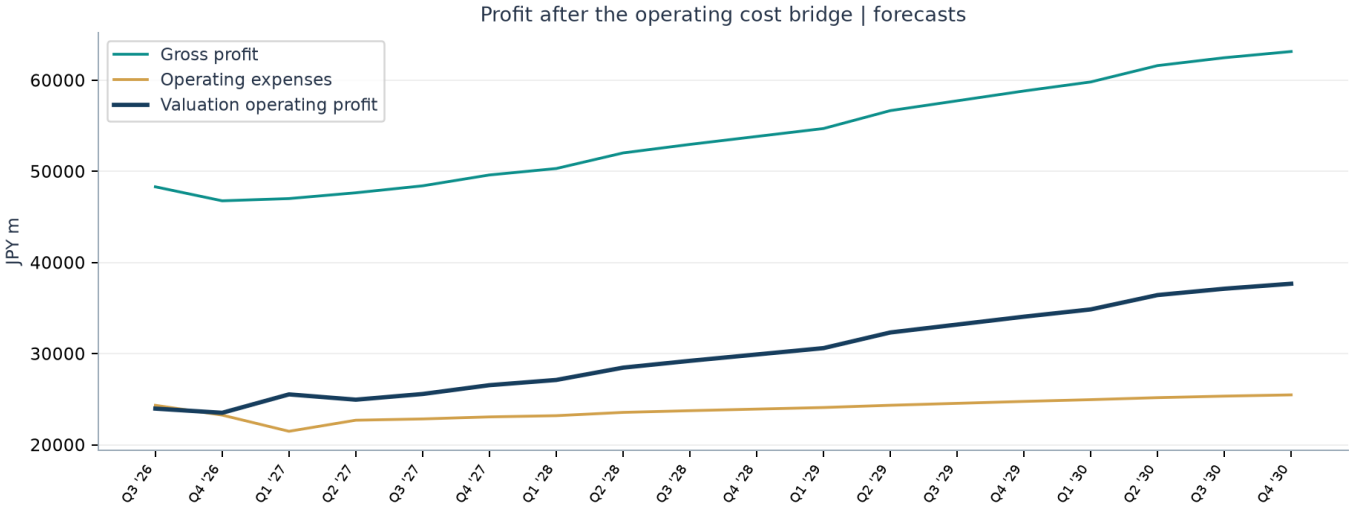
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	218,403.0	0.0	218,403.0
Q4 2026	212,000.0	71.0	212,071.0
Q1 2027	218,000.0	118.4	218,118.4
Q2 2027	211,793.2	397.9	212,191.1
Q3 2027	213,257.2	276.2	213,533.4
Q4 2027	215,313.1	363.8	215,676.8
Q1 2028	216,548.1	371.0	216,919.1
Q2 2028	221,880.1	312.4	222,192.5
Q3 2028	223,649.3	310.9	223,960.3
Q4 2028	225,287.1	309.8	225,596.9
Q1 2029	226,924.8	308.7	227,233.5
Q2 2029	233,488.7	428.9	233,917.6
Q3 2029	235,518.9	427.7	235,946.6
Q4 2029	237,549.0	426.5	237,975.5
Q1 2030	239,405.3	425.7	239,831.0
Q2 2030	245,997.4	567.9	246,565.3
Q3 2030	247,650.5	566.6	248,217.1
Q4 2030	248,967.4	565.3	249,532.7

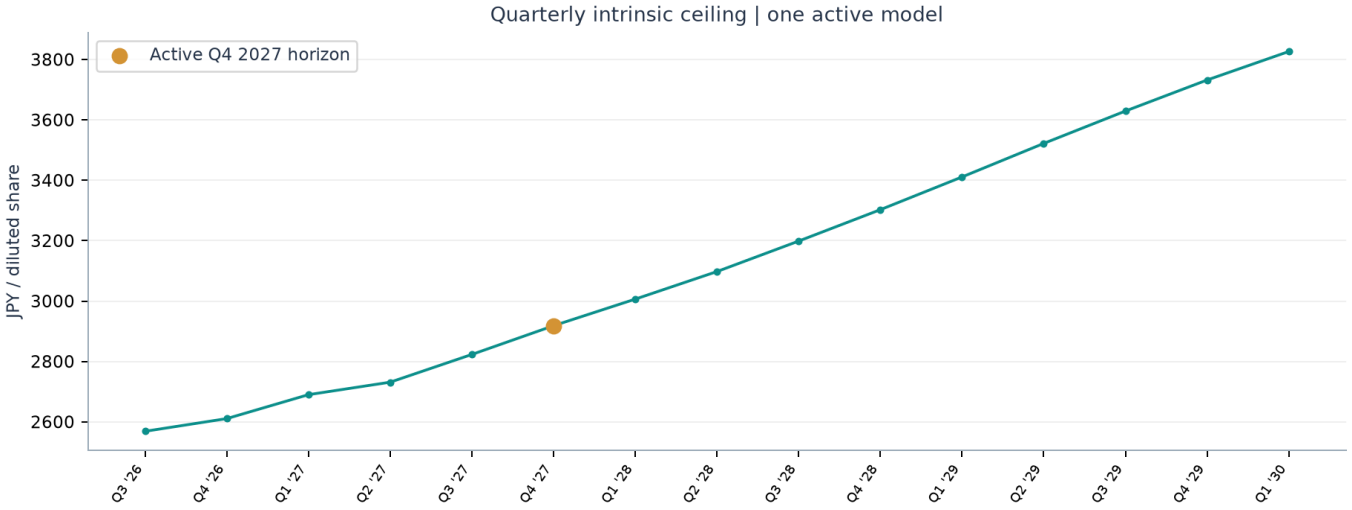
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	218,403.0	48,309.6	24,336.6	23,973.0	11.0%
Q4 2026	212,071.0	46,773.0	23,260.2	23,512.8	11.1%
Q1 2027	218,118.4	47,018.7	21,484.6	25,534.1	11.7%
Q2 2027	212,191.1	47,654.8	22,701.0	24,953.8	11.8%
Q3 2027	213,533.4	48,417.1	22,840.6	25,576.5	12.0%
Q4 2027	215,676.8	49,609.4	23,065.0	26,544.4	12.3%
Q1 2028	216,919.1	50,315.3	23,197.5	27,117.8	12.5%
Q2 2028	222,192.5	52,025.2	23,558.2	28,467.0	12.8%
Q3 2028	223,960.3	52,961.4	23,746.2	29,215.2	13.0%
Q4 2028	225,596.9	53,832.6	23,920.1	29,912.5	13.3%
Q1 2029	227,233.5	54,703.9	24,094.0	30,609.9	13.5%
Q2 2029	233,917.6	56,668.0	24,340.3	32,327.7	13.8%
Q3 2029	235,946.6	57,745.2	24,551.8	33,193.5	14.1%
Q4 2029	237,975.5	58,822.5	24,763.3	34,059.2	14.3%
Q1 2030	239,831.0	59,814.4	24,956.5	34,857.9	14.5%
Q2 2030	246,565.3	61,608.2	25,175.4	36,432.8	14.8%
Q3 2030	248,217.1	62,472.4	25,344.4	37,128.0	15.0%
Q4 2030	249,532.7	63,153.5	25,479.1	37,674.4	15.1%

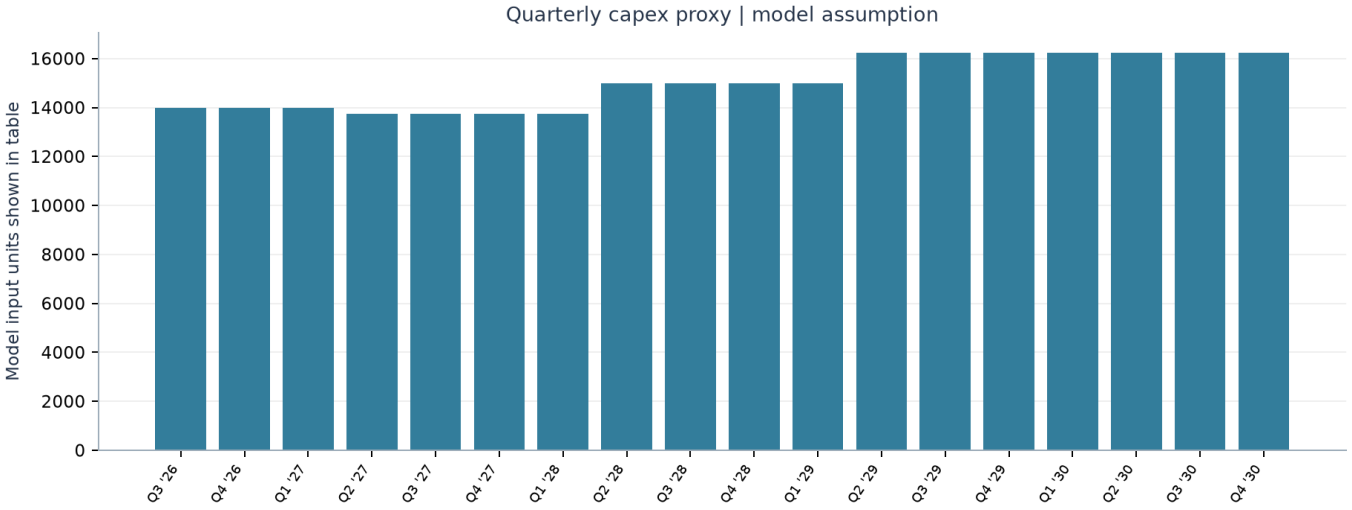
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	97,973.7	15x	572.139	2,568.61
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	99,577.2	15x	572.139	2,610.65
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	102,608.8	15x	572.182	2,689.93
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	104,192.5	15x	572.225	2,731.24
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	107,705.7	15x	572.268	2,823.13
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	111,344.4	15x	572.311	2,918.28
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	114,712.6	15x	572.354	3,006.34
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	118,204.6	15x	572.397	3,097.62
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	122,065.3	15x	572.440	3,198.55
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	126,043.5	15x	572.483	3,302.55
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	130,190.2	15x	572.526	3,410.94
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	134,438.2	15x	572.569	3,521.98
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	138,543.3	15x	572.611	3,629.25
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	142,477.9	15x	572.654	3,732.04
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	146,093.1	15x	572.697	3,826.45

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Quarterly capex proxy	Status
Q3 2026	14,000.000	medium
Q4 2026	14,000.000	medium
Q1 2027	14,000.000	medium
Q2 2027	13,750.000	medium
Q3 2027	13,750.000	medium
Q4 2027	13,750.000	medium
Q1 2028	13,750.000	low; beyond current guidance
Q2 2028	15,000.000	low; beyond current guidance
Q3 2028	15,000.000	low; beyond current guidance
Q4 2028	15,000.000	low; beyond current guidance
Q1 2029	15,000.000	low; beyond current guidance
Q2 2029	16,250.000	low; beyond current guidance
Q3 2029	16,250.000	low; beyond current guidance
Q4 2029	16,250.000	low; beyond current guidance
Q1 2030	16,250.000	low; beyond current guidance
Q2 2030	16,250.000	low; beyond current guidance
Q3 2030	16,250.000	low; beyond current guidance
Q4 2030	16,250.000	low; beyond current guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	VSP	11,049.7	50.0%	5,524.9
Q3 2026	MicroThin PKG	25,914.3	56.0%	14,512.0
Q3 2026	MicroThin HDI	2,999.2	53.0%	1,589.6
Q3 2026	Standard copper foil	4,516.4	10.0%	451.6
Q3 2026	FaradFlex	556.6	50.0%	278.3
Q3 2026	Catalysts	36,109.0	15.0%	5,416.3
Q3 2026	Powders	14,703.6	30.0%	4,411.1
Q3 2026	Other engineered	8,802.2	25.0%	2,200.5
Q3 2026	Metals	85,000.0	13.0%	11,050.0
Q3 2026	Corporate other	28,752.1	10.0%	2,875.2
Q4 2026	VSP	11,523.3	50.0%	5,761.6
Q4 2026	MicroThin PKG	24,138.4	56.0%	13,517.5
Q4 2026	MicroThin HDI	2,946.6	53.0%	1,561.7
Q4 2026	Standard copper foil	4,428.7	10.0%	442.9
Q4 2026	FaradFlex	597.5	50.0%	298.8
Q4 2026	Catalysts	34,656.2	15.0%	5,198.4
Q4 2026	Powders	14,112.1	30.0%	4,233.6
Q4 2026	Other engineered	8,448.0	25.0%	2,112.0
Q4 2026	Metals	83,200.0	13.0%	10,816.0
Q4 2026	Corporate other	27,949.2	10.0%	2,794.9
Q1 2027	VSP	11,523.3	50.0%	5,761.6
Q1 2027	MicroThin PKG	24,138.4	56.0%	13,517.5
Q1 2027	MicroThin HDI	2,946.6	53.0%	1,561.7
Q1 2027	Standard copper foil	4,428.7	10.0%	442.9
Q1 2027	FaradFlex	597.5	50.0%	298.8
Q1 2027	Catalysts	32,295.4	15.0%	4,844.3
Q1 2027	Powders	13,150.7	30.0%	3,945.2
Q1 2027	Other engineered	7,872.6	25.0%	1,968.1
Q1 2027	Metals	83,822.0	13.0%	10,896.9
Q1 2027	Corporate other	37,224.8	10.0%	3,722.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2027	VSP	13,303.5	50.0%	6,651.8
Q2 2027	MicroThin PKG	24,467.3	56.0%	13,701.7
Q2 2027	MicroThin HDI	2,946.6	53.0%	1,561.7
Q2 2027	Standard copper foil	4,165.6	10.0%	416.6
Q2 2027	FaradFlex	638.4	50.0%	319.2
Q2 2027	Catalysts	33,616.9	15.0%	5,042.5
Q2 2027	Powders	13,641.7	30.0%	4,092.5
Q2 2027	Other engineered	9,013.2	25.0%	2,253.3
Q2 2027	Metals	80,000.0	13.0%	10,400.0
Q2 2027	Corporate other	30,000.0	10.0%	3,000.0
Q3 2027	VSP	14,038.7	50.0%	7,019.4
Q3 2027	MicroThin PKG	25,256.5	56.0%	14,143.7
Q3 2027	MicroThin HDI	2,946.6	53.0%	1,561.7
Q3 2027	Standard copper foil	4,056.0	10.0%	405.6
Q3 2027	FaradFlex	687.5	50.0%	343.8
Q3 2027	Catalysts	33,616.9	15.0%	5,042.5
Q3 2027	Powders	13,641.7	30.0%	4,092.5
Q3 2027	Other engineered	9,013.2	25.0%	2,253.3
Q3 2027	Metals	80,000.0	13.0%	10,400.0
Q3 2027	Corporate other	30,000.0	10.0%	3,000.0
Q4 2027	VSP	15,127.6	50.0%	7,563.8
Q4 2027	MicroThin PKG	26,243.1	56.0%	14,696.1
Q4 2027	MicroThin HDI	2,946.6	53.0%	1,561.7
Q4 2027	Standard copper foil	3,946.3	10.0%	394.6
Q4 2027	FaradFlex	777.6	50.0%	388.8
Q4 2027	Catalysts	33,616.9	15.0%	5,042.5
Q4 2027	Powders	13,641.7	30.0%	4,092.5
Q4 2027	Other engineered	9,013.2	25.0%	2,253.3
Q4 2027	Metals	80,000.0	13.0%	10,400.0
Q4 2027	Corporate other	30,000.0	10.0%	3,000.0
Q1 2028	VSP	15,732.7	50.0%	7,866.4
Q1 2028	MicroThin PKG	26,900.8	56.0%	15,064.5
Q1 2028	MicroThin HDI	2,946.6	53.0%	1,561.7

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2028	Standard copper foil	3,836.7	10.0%	383.7
Q1 2028	FaradFlex	859.4	50.0%	429.7
Q1 2028	Catalysts	33,616.9	15.0%	5,042.5
Q1 2028	Powders	13,641.7	30.0%	4,092.5
Q1 2028	Other engineered	9,013.2	25.0%	2,253.3
Q1 2028	Metals	80,000.0	13.0%	10,400.0
Q1 2028	Corporate other	30,000.0	10.0%	3,000.0
Q2 2028	VSP	16,902.0	49.5%	8,366.5
Q2 2028	MicroThin PKG	28,130.8	55.5%	15,612.6
Q2 2028	MicroThin HDI	2,999.2	52.5%	1,574.6
Q2 2028	Standard copper foil	3,727.1	10.0%	372.7
Q2 2028	FaradFlex	900.3	50.0%	450.2
Q2 2028	Catalysts	33,616.9	15.0%	5,042.5
Q2 2028	Powders	14,859.7	30.0%	4,457.9
Q2 2028	Other engineered	9,744.0	25.0%	2,436.0
Q2 2028	Metals	80,500.0	13.0%	10,465.0
Q2 2028	Corporate other	30,500.0	10.0%	3,050.0
Q3 2028	VSP	17,591.9	49.5%	8,708.0
Q3 2028	MicroThin PKG	29,128.3	55.5%	16,166.2
Q3 2028	MicroThin HDI	2,999.2	52.5%	1,574.6
Q3 2028	Standard copper foil	3,727.1	10.0%	372.7
Q3 2028	FaradFlex	982.2	50.0%	491.1
Q3 2028	Catalysts	33,616.9	15.0%	5,042.5
Q3 2028	Powders	14,859.7	30.0%	4,457.9
Q3 2028	Other engineered	9,744.0	25.0%	2,436.0
Q3 2028	Metals	80,500.0	13.0%	10,465.0
Q3 2028	Corporate other	30,500.0	10.0%	3,050.0
Q4 2028	VSP	18,109.3	49.5%	8,964.1
Q4 2028	MicroThin PKG	30,125.9	55.5%	16,719.9
Q4 2028	MicroThin HDI	2,999.2	52.5%	1,574.6
Q4 2028	Standard copper foil	3,727.1	10.0%	372.7
Q4 2028	FaradFlex	1,105.0	50.0%	552.5
Q4 2028	Catalysts	33,616.9	15.0%	5,042.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Powders	14,859.7	30.0%	4,457.9
Q4 2028	Other engineered	9,744.0	25.0%	2,436.0
Q4 2028	Metals	80,500.0	13.0%	10,465.0
Q4 2028	Corporate other	30,500.0	10.0%	3,050.0
Q1 2029	VSP	18,626.7	49.5%	9,220.2
Q1 2029	MicroThin PKG	31,123.4	55.5%	17,273.5
Q1 2029	MicroThin HDI	2,999.2	52.5%	1,574.6
Q1 2029	Standard copper foil	3,727.1	10.0%	372.7
Q1 2029	FaradFlex	1,227.7	50.0%	613.9
Q1 2029	Catalysts	33,616.9	15.0%	5,042.5
Q1 2029	Powders	14,859.7	30.0%	4,457.9
Q1 2029	Other engineered	9,744.0	25.0%	2,436.0
Q1 2029	Metals	80,500.0	13.0%	10,465.0
Q1 2029	Corporate other	30,500.0	10.0%	3,050.0
Q2 2029	VSP	19,480.3	49.0%	9,545.3
Q2 2029	MicroThin PKG	32,339.5	55.0%	17,786.7
Q2 2029	MicroThin HDI	3,104.4	52.0%	1,614.3
Q2 2029	Standard copper foil	3,617.5	10.0%	361.7
Q2 2029	FaradFlex	1,309.6	50.0%	654.8
Q2 2029	Catalysts	33,860.5	15.0%	5,079.1
Q2 2029	Powders	16,564.9	30.0%	4,969.5
Q2 2029	Other engineered	10,962.0	25.0%	2,740.5
Q2 2029	Metals	81,250.0	13.0%	10,562.5
Q2 2029	Corporate other	31,000.0	10.0%	3,100.0
Q3 2029	VSP	20,002.1	49.0%	9,801.0
Q3 2029	MicroThin PKG	33,684.2	55.0%	18,526.3
Q3 2029	MicroThin HDI	3,104.4	52.0%	1,614.3
Q3 2029	Standard copper foil	3,617.5	10.0%	361.7
Q3 2029	FaradFlex	1,473.3	50.0%	736.6
Q3 2029	Catalysts	33,860.5	15.0%	5,079.1
Q3 2029	Powders	16,564.9	30.0%	4,969.5
Q3 2029	Other engineered	10,962.0	25.0%	2,740.5
Q3 2029	Metals	81,250.0	13.0%	10,562.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2029	Corporate other	31,000.0	10.0%	3,100.0
Q4 2029	VSP	20,523.9	49.0%	10,056.7
Q4 2029	MicroThin PKG	35,028.8	55.0%	19,265.9
Q4 2029	MicroThin HDI	3,104.4	52.0%	1,614.3
Q4 2029	Standard copper foil	3,617.5	10.0%	361.7
Q4 2029	FaradFlex	1,637.0	50.0%	818.5
Q4 2029	Catalysts	33,860.5	15.0%	5,079.1
Q4 2029	Powders	16,564.9	30.0%	4,969.5
Q4 2029	Other engineered	10,962.0	25.0%	2,740.5
Q4 2029	Metals	81,250.0	13.0%	10,562.5
Q4 2029	Corporate other	31,000.0	10.0%	3,100.0
Q1 2030	VSP	20,871.7	49.0%	10,227.1
Q1 2030	MicroThin PKG	36,373.5	55.0%	20,005.4
Q1 2030	MicroThin HDI	3,104.4	52.0%	1,614.3
Q1 2030	Standard copper foil	3,617.5	10.0%	361.7
Q1 2030	FaradFlex	1,800.7	50.0%	900.3
Q1 2030	Catalysts	33,860.5	15.0%	5,079.1
Q1 2030	Powders	16,564.9	30.0%	4,969.5
Q1 2030	Other engineered	10,962.0	25.0%	2,740.5
Q1 2030	Metals	81,250.0	13.0%	10,562.5
Q1 2030	Corporate other	31,000.0	10.0%	3,100.0
Q2 2030	VSP	21,567.4	48.5%	10,460.2
Q2 2030	MicroThin PKG	37,247.6	54.5%	20,299.9
Q2 2030	MicroThin HDI	3,209.7	51.5%	1,653.0
Q2 2030	Standard copper foil	3,507.9	10.0%	350.8
Q2 2030	FaradFlex	1,923.5	50.0%	961.7
Q2 2030	Catalysts	34,104.1	15.0%	5,115.6
Q2 2030	Powders	18,270.1	30.0%	5,481.0
Q2 2030	Other engineered	12,667.2	25.0%	3,166.8
Q2 2030	Metals	82,000.0	13.0%	10,660.0
Q2 2030	Corporate other	31,500.0	10.0%	3,150.0
Q3 2030	VSP	22,089.2	48.5%	10,713.3
Q3 2030	MicroThin PKG	38,256.1	54.5%	20,849.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2030	MicroThin HDI	3,209.7	51.5%	1,653.0
Q3 2030	Standard copper foil	3,507.9	10.0%	350.8
Q3 2030	FaradFlex	2,046.2	50.0%	1,023.1
Q3 2030	Catalysts	34,104.1	15.0%	5,115.6
Q3 2030	Powders	18,270.1	30.0%	5,481.0
Q3 2030	Other engineered	12,667.2	25.0%	3,166.8
Q3 2030	Metals	82,000.0	13.0%	10,660.0
Q3 2030	Corporate other	31,500.0	10.0%	3,150.0
Q4 2030	VSP	22,611.0	48.5%	10,966.4
Q4 2030	MicroThin PKG	38,928.4	54.5%	21,216.0
Q4 2030	MicroThin HDI	3,209.7	51.5%	1,653.0
Q4 2030	Standard copper foil	3,507.9	10.0%	350.8
Q4 2030	FaradFlex	2,169.0	50.0%	1,084.5
Q4 2030	Catalysts	34,104.1	15.0%	5,115.6
Q4 2030	Powders	18,270.1	30.0%	5,481.0
Q4 2030	Other engineered	12,667.2	25.0%	3,166.8
Q4 2030	Metals	82,000.0	13.0%	10,660.0
Q4 2030	Corporate other	31,500.0	10.0%	3,150.0

Operating-cost derivation

Quarter	R&D	SG&A excluding R&D
Q3 2026	5,460.1	18,876.5
Q4 2026	5,300.0	17,937.5
Q1 2027	5,450.0	16,009.5
Q2 2027	5,506.6	17,155.3
Q3 2027	5,544.7	17,273.8
Q4 2027	5,598.1	17,440.4
Q1 2028	5,630.3	17,540.4
Q2 2028	5,768.9	17,750.4
Q3 2028	5,814.9	17,891.9
Q4 2028	5,857.5	18,023.0
Q1 2029	5,900.0	18,154.0
Q2 2029	5,837.2	18,445.6
Q3 2029	5,888.0	18,606.0
Q4 2029	5,938.7	18,766.4
Q1 2030	5,985.1	18,913.0
Q2 2030	5,903.9	19,187.8
Q3 2030	5,943.6	19,316.7
Q4 2030	5,975.2	19,419.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2026	M1 faster Malaysia VSP qualification	30%	947.1	473.6	47.4	127.9
Q4 2026	M1b slower qualification	15%	-1,420.7	-710.3	56.8	-115.1
Q1 2027	M1 faster Malaysia VSP qualification	30%	1,105.0	552.5	55.2	149.2
Q1 2027	M1b slower qualification	15%	-1,420.7	-710.3	56.8	-115.1
Q2 2027	M1 faster Malaysia VSP qualification	30%	811.2	405.6	40.6	109.5
Q2 2027	M1b slower qualification	15%	-811.2	-405.6	32.4	-65.7
Q2 2027	M2 MicroThin above reference accepted volume	35%	789.3	442.0	63.1	132.6
Q3 2027	M2 MicroThin above reference accepted volume	35%	789.3	442.0	63.1	132.6
Q4 2027	M2 MicroThin above reference accepted volume	35%	789.3	442.0	63.1	132.6
Q4 2027	M3 HVLP new terms processing premium	35%	250.0	175.0	12.5	56.9
Q1 2028	M2 MicroThin above reference accepted volume	35%	789.3	442.0	63.1	132.6
Q1 2028	M3 HVLP new terms processing premium	35%	270.7	189.5	13.5	61.6
Q2 2028	M2 MicroThin above reference accepted volume	35%	997.5	553.6	79.8	165.8
Q2 2028	M3 HVLP new terms processing premium	35%	300.8	210.6	15.0	68.4
Q2 2028	M4 high grade competition	20%	-709.9	-351.4	28.4	-76.0
Q3 2028	M2 MicroThin above reference accepted volume	35%	997.5	553.6	79.8	165.8
Q3 2028	M3 HVLP new terms processing premium	35%	313.1	219.2	15.7	71.2
Q3 2028	M4 high grade competition	20%	-738.9	-365.7	29.6	-79.1
Q4 2028	M2 MicroThin above reference accepted volume	35%	997.5	553.6	79.8	165.8
Q4 2028	M3 HVLP new terms processing premium	35%	322.3	225.6	16.1	73.3
Q4 2028	M4 high grade competition	20%	-760.6	-376.5	30.4	-81.4
Q1 2029	M2 MicroThin above reference accepted volume	35%	997.5	553.6	79.8	165.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2029	M3 HVLP new terms processing premium	35%	331.5	232.0	16.6	75.4
Q1 2029	M4 high grade competition	20%	-782.3	-387.2	31.3	-83.7
Q2 2029	M2 MicroThin above reference accepted volume	35%	1,210.2	665.6	96.8	199.1
Q2 2029	M3 HVLP new terms processing premium	35%	373.2	261.3	18.7	84.9
Q2 2029	M4 high grade competition	20%	-876.6	-429.5	35.1	-92.9
Q2 2029	M5 new materials commercialization	20%	250.0	75.0	50.0	5.0
Q3 2029	M2 MicroThin above reference accepted volume	35%	1,210.2	665.6	96.8	199.1
Q3 2029	M3 HVLP new terms processing premium	35%	383.2	268.3	19.2	87.2
Q3 2029	M4 high grade competition	20%	-900.1	-441.0	36.0	-95.4
Q3 2029	M5 new materials commercialization	20%	250.0	75.0	50.0	5.0
Q4 2029	M2 MicroThin above reference accepted volume	35%	1,210.2	665.6	96.8	199.1
Q4 2029	M3 HVLP new terms processing premium	35%	393.2	275.3	19.7	89.5
Q4 2029	M4 high grade competition	20%	-923.6	-452.6	36.9	-97.9
Q4 2029	M5 new materials commercialization	20%	250.0	75.0	50.0	5.0
Q1 2030	M2 MicroThin above reference accepted volume	35%	1,210.2	665.6	96.8	199.1
Q1 2030	M3 HVLP new terms processing premium	35%	399.9	279.9	20.0	91.0
Q1 2030	M4 high grade competition	20%	-939.2	-460.2	37.6	-99.6
Q1 2030	M5 new materials commercialization	20%	250.0	75.0	50.0	5.0
Q2 2030	M2 MicroThin above reference accepted volume	35%	1,344.7	732.8	107.6	218.8
Q2 2030	M3 HVLP new terms processing premium	35%	440.8	308.5	22.0	100.3
Q2 2030	M4 high grade competition	20%	-1,035.2	-502.1	41.4	-108.7
Q2 2030	M5 new materials commercialization	20%	750.0	225.0	150.0	15.0
Q3 2030	M2 MicroThin above reference accepted volume	35%	1,344.7	732.8	107.6	218.8
Q3 2030	M3 HVLP new terms processing premium	35%	451.4	316.0	22.6	102.7

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2030	M4 high grade competition	20%	-1,060.3	-514.2	42.4	-111.3
Q3 2030	M5 new materials commercialization	20%	750.0	225.0	150.0	15.0
Q4 2030	M2 MicroThin above reference accepted volume	35%	1,344.7	732.8	107.6	218.8
Q4 2030	M3 HVLP new terms processing premium	35%	462.1	323.5	23.1	105.1
Q4 2030	M4 high grade competition	20%	-1,085.3	-526.4	43.4	-114.0
Q4 2030	M5 new materials commercialization	20%	750.0	225.0	150.0	15.0

Claim decisions, overlap and triggers

M1_faster_Malaysia_VSP_qualification

p: 0.3

description: Upside relative to reduced August guidance, not May-to-Aug guidance revision. 60/70/50 t per month sooner; below announced capacity. 5% incremental revenue operating reserve.

active horizon revenue delta: 0

active horizon op delta: 0

active horizon ceiling delta: 0.0

source: Aug7 results/call released Aug31; May21 strategy and June9 Q&A; BofA Oct5 corroboration is overlapping

rationale: 30% subjective probability. August management attributes the delay to customer approval procedure, with installed equipment ready and no disclosed quality failure. Faster approval than the lowered guide has a bounded path; it is not certain because customer timing is outside supplier control.

raise trigger: Verified approval and saleable Malaysian shipments above the reduced 710t/month annual guide.

cut trigger: Approval slips again, qualification batches fail, or demand no longer absorbs cleared output.

overlap: July repricing and October2025 increase already in reference. Same event as M1b: faster30%, slower15%, reference55%.

source pages: Aug7 call released Aug31, copper-foil Q&A; Aug7 deck PDFp13 volumes and PDFp7 capacity.

M1b_slower_qualification

p: 0.15

description: Alternative downside within same event: 15% slower, 30% faster, 55% reference. Lost contribution plus 4% fixed-cost reserve. Not an independent demand shock.

active horizon revenue delta: 0

active horizon op delta: 0

active horizon ceiling delta: 0.0

source: Aug7 results/call released Aug31; May21 strategy and June9 Q&A; BofA Oct5 corroboration is overlapping

rationale: 15% alternative branch within the same three-state qualification event. Explicitly prices delayed accepted output and fixed operating cost after a prior procedural slip.

raise trigger: Customer qualification dates move beyond the current fiscal-year schedule.

cut trigger: Customer approvals and shipment reports remove the timing uncertainty.

overlap: Mutually exclusive with M1, not an independent negative demand shock.

source pages: Aug7 call released Aug31, copper-foil Q&A.

M2_MicroThin_above_reference_accepted_volume

p: 0.35

description: Conditional incremental accepted area above reference, within announced total capacity; memory/optics combined wallet. 8% incremental selling, qualification and expediting reserve. Optical >600k m²/month already embedded in reference, never added again.

active horizon revenue delta: 1250.7687934890655

active horizon op delta: 596.8776110524354

active horizon ceiling delta: 15.643879180205163

source: Aug7 results/call released Aug31; May21 strategy and June9 Q&A; BofA Oct5 corroboration is overlapping

rationale: 35% subjective probability. Memory and optical demand, sharply higher disclosed optical usage and planned capacity give a credible upside path. Reference already grows, so the residual is only0.12-0.20M m²/month, rather than repeating the whole optical wallet.

raise trigger: Accepted area exceeds the modeled 4.47M monthly FY27 average and new customer qualifications support persistent volume.

cut trigger: Demand normalization, MSAP substitution, lower yield, or incomplete customer acceptance keeps output at/below reference.

overlap: Entire disclosed optical >0.6M m²/month and existing guided pricing are embedded. Conditional increment combines memory and optics without counting them twice.

source pages: Aug7 deck PDFp13; Aug7 call optical/MSAP Q&A; May21 deck p17; Aug17 release p2.

M3_HVLP_new_terms_processing_premium

p: 0.35

description: 8% conditional fee premium on half of high-grade VSP processing-fee pool only. Copper metal value excluded. 30% premium consumed by cost, 5% opex; July2026 increase already in reference.

active horizon revenue delta: 397.0997037375746

active horizon op delta: 258.1148074294235

active horizon ceiling delta: 6.76506671933636

source: Aug7 results/call released Aug31; May21 strategy and June9 Q&A; BofA Oct5 corroboration is overlapping

rationale: 35% subjective probability. Higher-grade mix, limited qualified high-grade supply, and customer redesign/qualification cost can support new-term processing fees. 8% on half the eligible high-grade fee wallet is a bounded prospective assumption, not an announced price increase.

raise trigger: New/repriceable HVLP4/5 contracts show higher processing fees after separating copper-metal pass-through.

cut trigger: Rival qualification, fee concessions or copper/energy costs consume the premium.

overlap: Reference includes October2025 and July2026 pricing plus grade mix. Increment applies only to processing fee, excludes copper metal, and deducts30% incremental manufacturing cost plus5% operating expense.

source pages: Aug7 call pricing and grade-mix Q&A; May21 deck p18.

M4_high_grade_competition

p: 0.2

description: Conditional 6% of high-grade VSP wallet lost to qualified rivals; separate share effect from reference margin fade. No blanket haircut to MicroThin monopoly-like position.

active horizon revenue delta: -289.74864811133205

active horizon op delta: -155.01552673956263

active horizon ceiling delta: -4.0628834562811935

source: Aug7 results/call released Aug31; May21 strategy and June9 Q&A; BofA Oct5 corroboration is overlapping

rationale: 20% subjective probability. High-grade qualification is difficult but demand and pricing incentivize rivals. A6% loss of the high-grade VSP wallet from FY28 represents incremental share loss distinct from reference margin fade.

raise trigger: A competing supplier wins qualified HVLP4/5 volume or key OEM/CCL platform share.

cut trigger: Qualification failures or demonstrated throughput/quality gaps preserve customer concentration with Mitsui.

overlap: Only VSP high-grade share is reduced. No extra haircut to MicroThin or broad AI demand, and no use of nameplate as proven qualified competitor supply.

source pages: Aug7 call competitive-position Q&A; May21 deck p18.

M5_new_materials_commercialization

p: 0.2

description: HRDP/A-SOLiD/FPM combined incremental pool; tiny bounded early revenue, 30% GM and 20% commercialization cost. Reference Other_engineered already includes ordinary development; this is the residual new commercial adoption, not management total Next10 target.

active horizon revenue delta: 0

active horizon op delta: 0

active horizon ceiling delta: 0.0

source: Aug7 results/call released Aug31; May21 strategy and June9 Q&A; BofA Oct5 corroboration is overlapping

rationale: 20% subjective probability for a modest residual commercialization pool in FY29-30. Existing HRDP customer customization and later A-SOLiD/FPM opportunities are real development paths, but disclosed prototypes and line readiness are not broad production awards.

raise trigger: Paid production awards, qualified process specifications and useful customer yields establish product economics.

cut trigger: Pilot timelines slip, required customization increases expense, or commercialization remains pre-revenue.

overlap: Other_engineered reference already includes ongoing development. Only incremental1B/3B annual revenue in FY29/30 is conditional;30%GM less20% commercial expense. Zero Q4’27 impact is justified by recognition timing, not lack of official confirmation.

source pages: May21 strategy and June9 strategy Q&A; May13/Aug7 calls.

Remaining bounded uncertainties

- Realized product ASP, external sales and product GM

- Actual customer-qualified output/yield and Malaysia approval schedule

- Exact composition of MicroThin optical versus memory applications and cannibalization

- October treasury and options after split; only reported transactions reconciled

- Corporate/new-business R&D allocation and capex timing

- Inventory/PGM exposure versus normalized OP

Selected original evidence

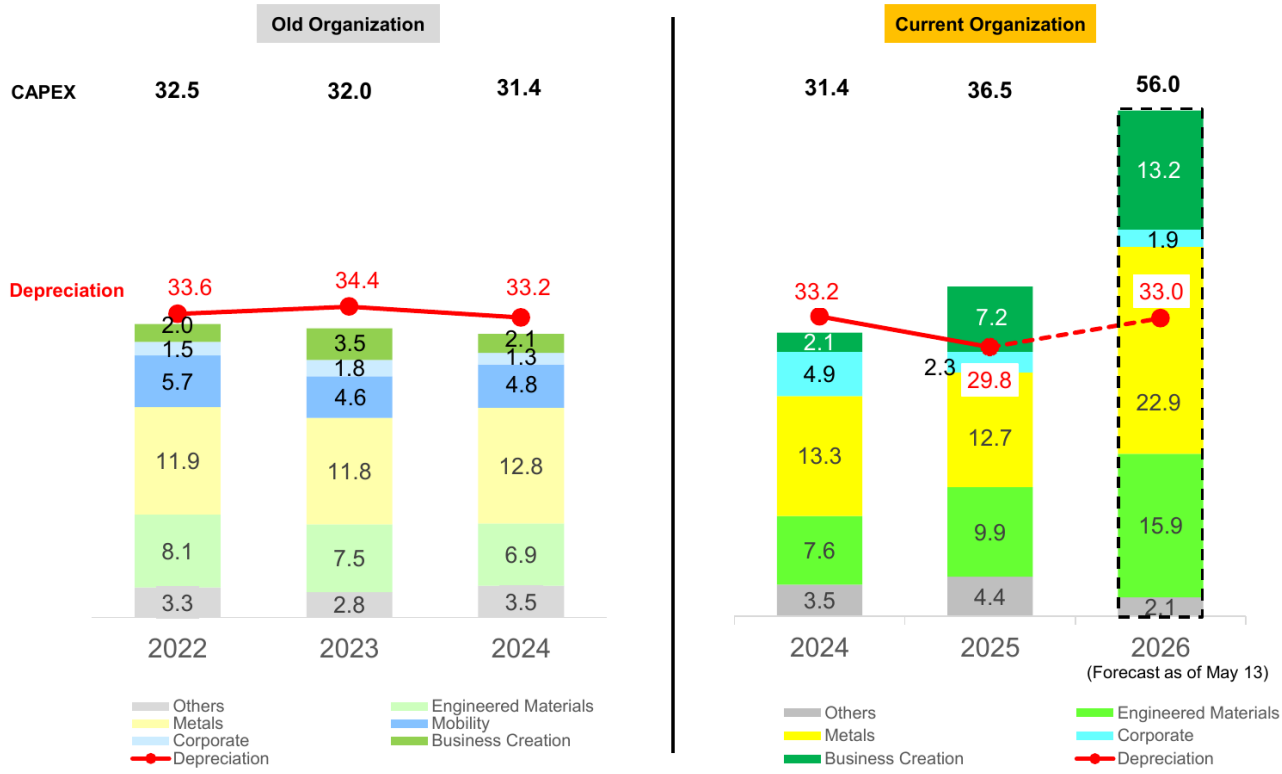
Source exhibit 1

Issuer source retained in the evidence manifest | May13 FY26 cash-capex plan¥56B and depreciation¥33B, compared withFY25.

CAPEX and Depreciation

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(Unit : Billion yen)



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May13 FY26 cash-capex plan¥56B and depreciation¥33B, compared withFY25. Original units and footnotes apply.

Source exhibit 2

Issuer source retained in the evidence manifest | August17 official expansion schedule and original MicroThin/VSP product photographs.5000t is land-enabled optionality, not committed near-term output.

Mitsui Kinzoku will contribute to the realization of a sustainable society by implementing its vision for 2030, “Building new businesses —and the future— with our material intelligence,” based on its purpose, “We promote the well-being of the world through a spirit of exploration and diverse technologies.”

■ MicroThin™ and VSP™ production capacity (for reference)

	FY2025	FY2026	FY2027	FY2028	FY2030	FY2031	FY2032	FY2033
MicroThin™(10,000 m^2 / month)	490	490	520	600	800	1,000	1,000	1,200
VSP™ (tons/month)	720	840	1,000	1,200	1,400	2,000	2,600	*2,600

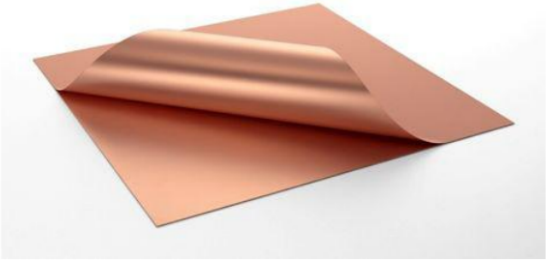
* The land to be acquired will enable monthly production to be expanded to 5,000 tons.

[Contact]

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TEL: +81-3-5437-8028 Email: PR@mitsui-kinzoku.com

Picture of MicroThin™



Top: Copper carrier foil (thickness: 18μm or 12μm)

Bottom: Ultra-thin copper foil (thickness: 1.5μm to 5μm)



General-purpose copper foil



VSP™

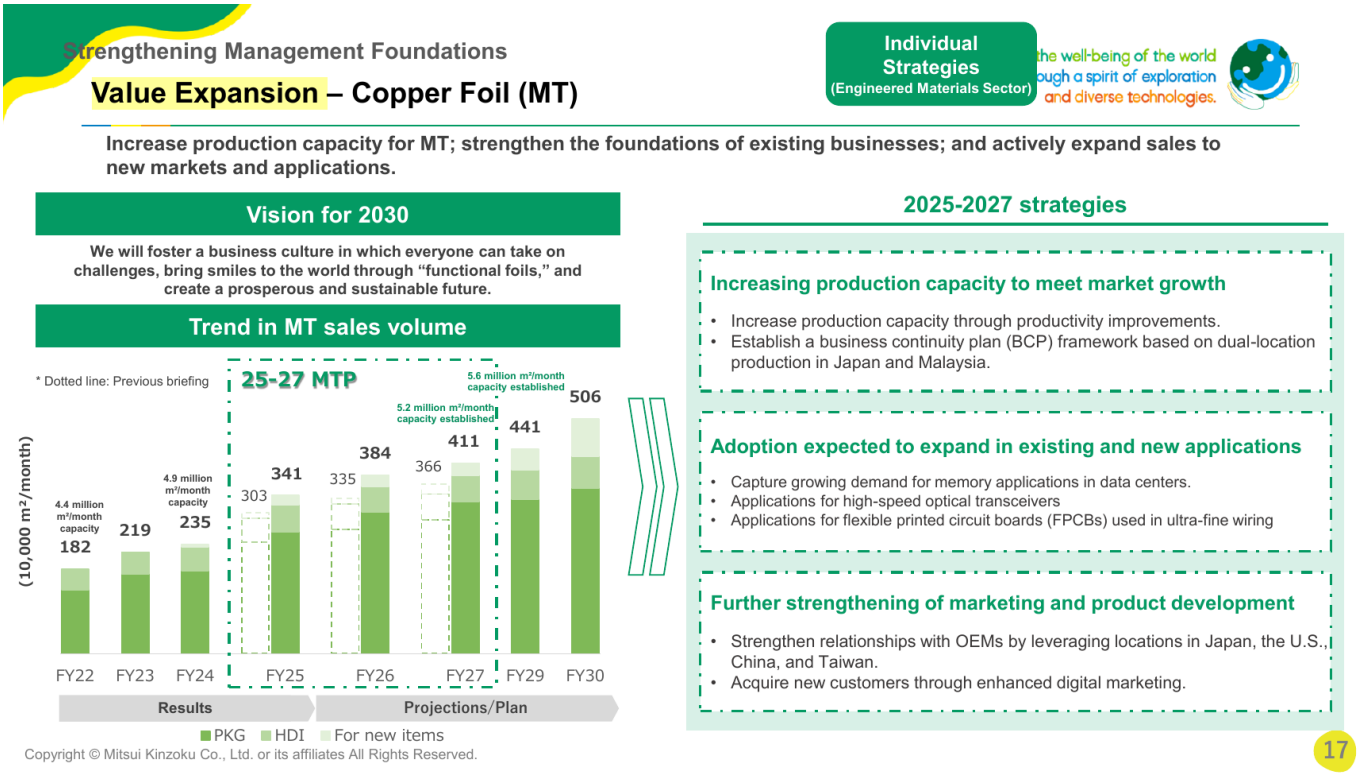
Picture: A reflection of an apple mango in a copper foil surface

* VSP™ is characterized by its outstanding surface smoothness comparable to that of a mirror.

August17 official expansion schedule and original MicroThin/VSP product photographs.5000t is land-enabled optionality, not committed near-term output. Original units and footnotes apply.

Source exhibit 3

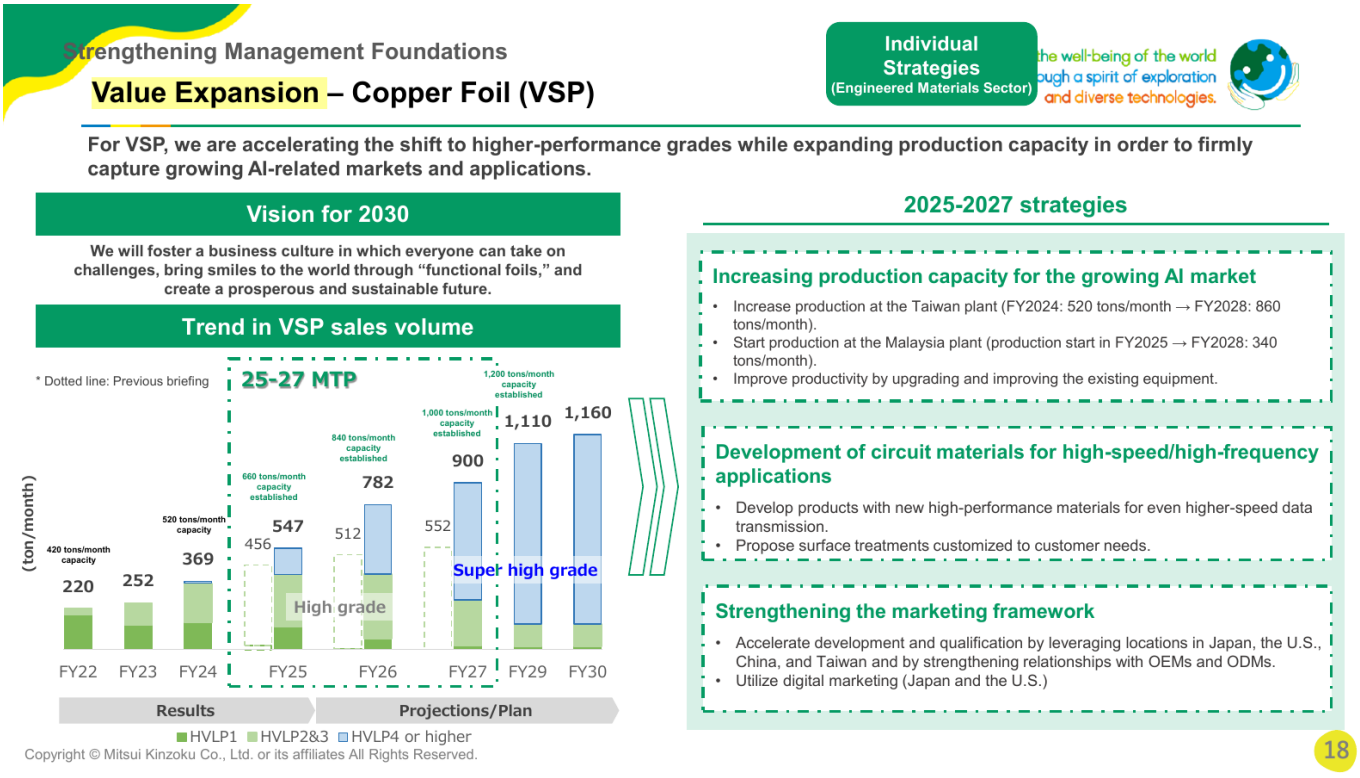
Issuer source retained in the evidence manifest | May21 MicroThin demand/product map. Old sales forecast is superseded for FY26 by August guidance; later sales targets remain comparison points.



May21 MicroThin demand/product map. Old sales forecast is superseded for FY26 by August guidance; later sales targets remain comparison points. Original units and footnotes apply.

Source exhibit 4

Issuer source retained in the evidence manifest | May21 VSP high-grade mix and sales plan; later August capacity additions are not automatic orders.



May21 VSP high-grade mix and sales plan; later August capacity additions are not automatic orders. Original units and footnotes apply.

Source exhibit 5

Issuer source retained in the evidence manifest | August7 actual and forecast copper-foil shipments: tonnes versus square metres are separate units.

Trends of products

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			2024					2025					2026 Forecast (Aug 7)					2026 Forecast (May 13)		
			Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3	Q4	Year	Q1	Q2 Forecast	1st Half Forecast	2nd Half Forecast	Year Forecast	1st Half Forecast	2nd Half Forecast	Year Forecast
Copper foil	Volume of Sales	t / Month	1,680	1,650	1,680	1,600	1,650	1,750	1,980	1,970	1,700	1,850	1,750	1,750	1,750	1,740	1,750	1,840	1,790	1,810
VSP™	Volume of Sales	t / Month	240	390	420	430	370	510	560	550	570	550	660	720	690	730	710	720	840	780
MicroThin™ Total (a+b)	Volume of Sales	k-m2/Month	2,480	2,650	2,220	2,060	2,350	3,120	3,480	3,430	3,610	3,410	4,070	4,510	4,290	4,230	4,260	3,970	3,700	3,840
MicroThin™ for HDI (a)	Volume of Sales	k-m2/Month	600	530	470	430	510	530	650	690	470	590	550	570	560	560	560	560	560	560
MicroThin™ for PKG (b)	Volume of Sales	k-m2/Month	1,880	2,120	1,750	1,630	1,840	2,590	2,830	2,740	3,140	2,820	3,520	3,940	3,730	3,670	3,700	3,410	3,140	3,280
Catalysts for motorcycle	Volume of Sales	Index	100	100	94	92	97	97	103	101	103	101	102	107	104	99	102	102	98	100
India	Volume of Sales	Index	100	101	87	83	93	87	98	97	101	96	98	104	101	95	98	100	93	97
Indonesia	Volume of Sales	Index	100	123	110	117	112	103	123	110	108	111	99	129	114	114	114	110	110	110
Others	Volume of Sales	Index	100	89	102	101	98	115	104	105	104	107	110	104	107	101	104	103	103	103
Catalysts for automobile	Volume of Sales	Index	100	98	100	95	98	94	95	96	95	95	88	92	90	99	94	94	95	94
Protective Coating Materials for Semiconductor Production Equipment	Volume of Sales	Index	100	101	126	130	114	131	125	124	153	133	117	140	129	89	109	140	139	140
Zinc	Volume of Production	k-t	56	47	56	58	216	53	52	47	42	194	45	58	103	115	218	108	118	226

※ Index : The sales volume in 2024 Q1 scaled at 100 (except Copper Foil, MicroThin™ and Zinc).

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August7 actual and forecast copper-foil shipments: tonnes versus square metres are separate units. Original units and footnotes apply.

Source exhibit 6

Issuer source retained in the evidence manifest | August7 inventory and precious-metal adjustments; operating earnings require normalization.

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Inventory Factors and PGM price difference on Catalysts

(Unit : Billion yen)

■Inventory Factors

	2025							2026 Forecast (Aug 7)					2026 Forecast (May 13)		
	Q1	Q2	1st Half	Q3	Q4	2nd Half	Year	Q1	Q2 Forecast	1st Half Forecast	2nd Half Forecast	Year Forecast	1st Half Forecast	2nd Half Forecast	Year Forecast
Engineered materials	0.2	0.1	0.3	0.2	1.4	1.6	1.9	3.0	0.6	3.6	0.1	3.7	1.5	-	1.5
Metals	-2.3	5.0	2.7	8.2	8.7	16.9	19.6	2.9	-1.1	1.8	0.1	1.9	7.5	0.2	7.7
Corporate	-0.1	0.2	0.1	0.6	1.2	1.8	1.9	0.9	0.5	1.4	0.4	1.8	-0.3	-	-0.3
Consolidated	-2.2	5.3	3.1	9.0	11.3	20.3	23.4	6.8	-	6.8	0.6	7.4	8.7	0.2	8.9

■PGM price difference on Catalysts

Engineered materials	0.6	1.4	2.0	0.8	0.2	1.0	3.0	-1.3	0.7	-0.6	-	-0.6	1.0	-	1.0

■Inventory Factors + PGM price difference on Catalysts

Engineered materials	0.8	1.5	2.3	1.0	1.6	2.6	4.9	1.7	1.3	3.0	0.1	3.1	2.5	-	2.5
Metals	-2.3	5.0	2.7	8.2	8.7	16.9	19.6	2.9	-1.1	1.8	0.1	1.9	7.5	0.2	7.7
Corporate	-0.1	0.2	0.1	0.6	1.2	1.8	1.9	0.9	0.5	1.4	0.4	1.8	-0.3	-	-0.3
Consolidated	-1.6	6.7	5.1	9.8	11.5	21.3	26.4	5.5	0.7	6.2	0.6	6.8	9.7	0.2	9.9

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August7 inventory and precious-metal adjustments; operating earnings require normalization. Original units and footnotes apply.

Source exhibit 7

Issuer source retained in the evidence manifest | Engineered Materials forecast: ¥79B FY26 operating income; ordinary income is separate.

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Performance by Segment – Engineered Materials

(Unit : Billion yen)

	26/Q1 Results	25/Q1 Results	Diff. (26-25)	26/1H Forecast	25/1H Results	Diff. (26-25)	FY2026 Forecast	FY2025 Results	Diff. (26-25)
■Sales	100.6	71.3	29.3	208.0	150.5	57.5	411.0	328.4	82.6
■Operating income	18.3	12.9	5.4	39.5	28.0	11.5	79.0	67.5	11.5
■Ordinary income	18.2	10.5	7.7	39.0	26.5	12.5	78.0	66.5	11.5
※Ordinary income	16.5	9.7	6.8	36.0	24.2	11.8	74.9	61.6	13.3

※Ordinary income : Ordinary income excluding inventory factors and PGM price difference on Catalysts.

(Engineered Material Products)		(Main Applications)
Copper Foil		・High-Density Packaging ・Printed circuit board
Catalysts		・Motorcycles ・Automobiles
Battery Materials		・Nickel-hydrogen batteries for hybrid cars ・Lithium-ion batteries
Engineered Powders		・Wide range of electronic components
Rare Material		・Abrasive for glass ・Wide range of electronic components
Ceramics		・Kiln furniture for electronic materials ・Liquid aluminum filtration equipment
PVD Materials (Sputtering target)		・Flat panel displays
HRDP *1		・Carrier for next-gen chips packages

Difference Analysis of Ordinary income

[FY2025 1st Half → FY2026 1st Half Forecast + 12.5]

Copper foil	+11.9	(MicroThin™ and VSP™ volume of sales increases, others)
Catalysts	-0.7	(PGM price difference, others)
PVD Materials	+2.5	(Inventory factors, others)
Headquarters	-2.7	(Business Promotion cost, others)

[FY2025→FY2026 Forecast + 11.5]

Copper foil	+15.1	(MicroThin™ and VSP™ volume of sales increases, others)
Catalysts	-1.2	(PGM price difference, others)
PVD Materials	+1.4	(Inventory factors, others)
Headquarters	-3.6	(Business Promotion cost, others)

*1 In October 2025, the HRDP was transferred from the Business Creation Sector to Engineered Materials Sector.

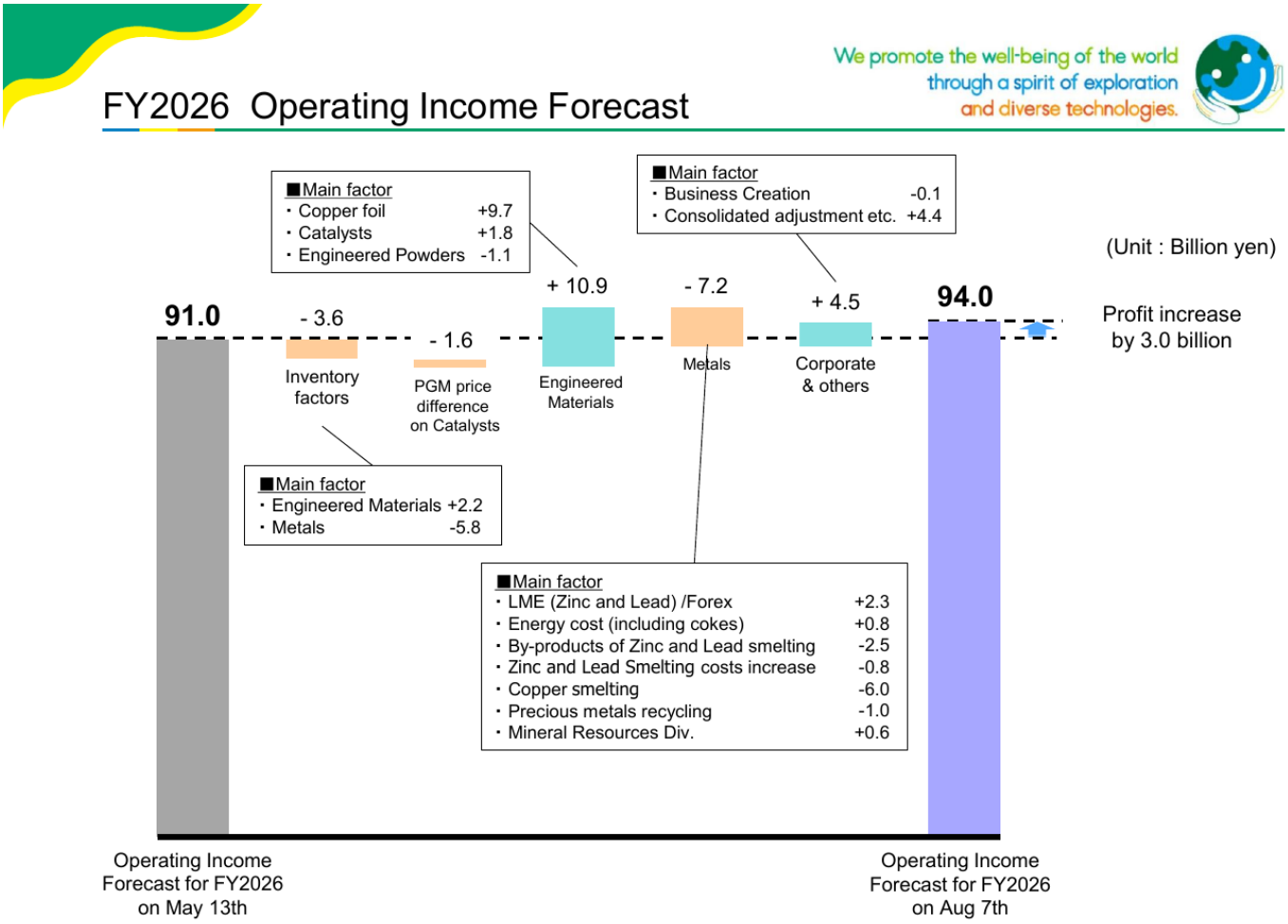
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Engineered Materials forecast: ¥79B FY26 operating income; ordinary income is separate. Original units and footnotes apply.

Source exhibit 8

Issuer source retained in the evidence manifest | FY26 OP revision from¥91B to¥94B: foil improvement partly offsets metals and inventory headwinds.



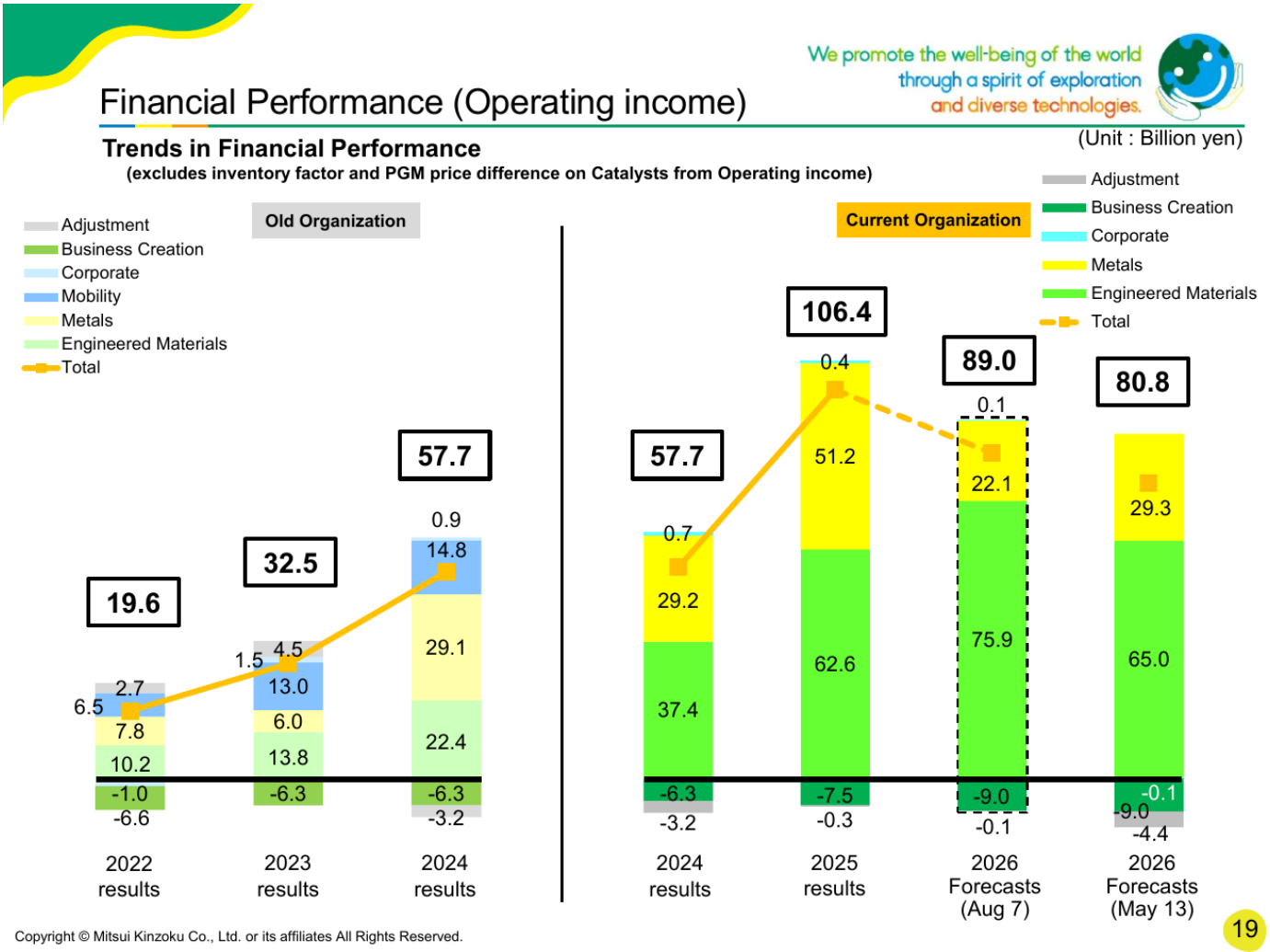
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FY26 OP revision from¥91B to¥94B: foil improvement partly offsets metals and inventory headwinds. Original units and footnotes apply.

Source exhibit 9

Issuer source retained in the evidence manifest | FY26 normalized OP¥89B versus¥94B reported: inventory/PGM windfalls excluded from future run rate.



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FY26 normalized OP¥89B versus¥94B reported: inventory/PGM windfalls excluded from future run rate. Original units and footnotes apply.

Source exhibit 10

Issuer source retained in the evidence manifest | August7 capacity and investment plan: nameplate, not customer-qualified shipments.

Copper Foil Product Capacity Expansion

We promote the well-being of the world through a spirit of exploration and diverse technologies.

Capacity expansion for core copper foil products—VSP™, MicroThin™, and FaradFlex®—is supporting steady progress toward the 2030 ordinary income target—JPY 150 billion on a consolidated basis, including JPY 130 billion from the Engineered Materials segment.

■ Original Plan

VSP™ Unit: t/month

	2025	2026	2027	2028
Taiwan Plant	600	720	760	860
Malaysia Plant	120	120	240	340
Total	720	840	1,000	1,200

MicroThin™ Unit: K -m2/month

	2024	2027	2030
Japan Plant	2,500	2,600	2,800
Malaysia Plant	2,400	2,600	2,800
Total	4,900	5,200	5,600

FaradFlex® (FF)

- News release issued on August 21, 2025
- Production capacity to be increased 1.6-fold by March 2026

■ Latest Plan (Red boxes indicate additions.)

VSP™ Unit: t/month

	2025	2026	2027	2028	2030
Taiwan Plant	600	720	760	860	960
Malaysia Plant	120	120	240	340	440
Total	720	840	1,000	1,200	1,400

Total investment: JPY 7.0 B

MicroThin™ Unit: K -m2/month

	2025	2026	2027	2028	2030
Japan Plant	2,500	2,500	2,600	2,800	TBD
Malaysia Plant	2,400	2,400	2,600	3,200	TBD
Total	4,900	4,900	5,200	6,000	8,000

Total investment: JPY 30.0 B

FaradFlex® (FF) Unit: K -m2/month

	2025	2026	2027	2028	2029	2030
Malaysia Plant	70	80	100	135	135	135
Japan Plant	5	5	35	60	85	85
Taiwan Plant *	-	-	-	-	70	135
Total	75	85	135	195	290	355

Total investment: JPY 5.0 B

* Establishment of a new plant.

- Upside potential for the 2030 earnings target, depending on MicroThin™ and others.
- Considering new plants and M&A for growth beyond 2030
  → further enhancement of corporate value

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August7 capacity and investment plan: nameplate, not customer-qualified shipments. Original units and footnotes apply.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q1_FY2026_release

https://www.mitsui-kinzoku.com/LinkClick.aspx?fileticket=CRacksxCgE4%3d&tabid=249&mid=1027

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[2] Q1_FY2026_deck

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[3] Q1_FY2026_call

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[4] FY2025_deck

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[5] FY2025_release

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[6] FY2025_call

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[7] MTBP_QA

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[8] split

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[9] RS_completion

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[10] VSP_expansion_2026-08-07

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[11] Malaysia_2026-08-17

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[12] MTBP_deck | 2026-05-21

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Archived source SHA-256: 23c7384ec268ef746ede1ac9600922baabb22ac6416a04e0d95f8a3cfca664d6

[13] Quote | 2026-10-07

https://finance.yahoo.co.jp/quote/5706.T

Model formulas: reference GP sums product revenue x GM; reference OP deducts specified costs. Each conditional revenue/GP/cost delta is multiplied by its probability once. The ceiling uses the sum of four consecutive quarterly valuation operating profits x the stated multiple / diluted shares at the starting quarter. Net cash, debt and minority claims follow the company-specific method explanation.